

B&W

BROWN & WILLIAMSON TOBACCO CORPORATION

June 4, 1964

Prof. Dr. H. Dengler
Director of Medical University Clinic
Bonn-Venusberg, West Germany

Dear Professor Dengler:

As we have discussed, Brown & Williamson Tobacco Corporation ("B&W") desires to retain your services as a scientific consultant regarding various aspects of B&W's grooved cigarette filter technology. This letter agreement is to confirm our mutual understanding with respect to the terms and conditions under which B&W and you ("Consultant") agree to enter into a working relationship. An additional purpose of this agreement is to protect the confidential and proprietary interests of B&W.

Consultant agrees that during the term of this agreement will consult with and provide information to B&W appropriate to the field of this agreement. B&W agrees to pay Consultant the services actually rendered a fee at the rate of \$750 per weekday (before out applicable word). In addition, B&W shall reimburse Consultant for all reasonable and necessary out-of-pocket expenses actually incurred, including those for travel, food, and lodging in connection with the performance of services hereunder. All payments by B&W will be made monthly after receipt of Consultant's itemized invoices.

It is recognized that as a result of the performance of services hereunder, the parties may agree that it would be appropriate to undertake specific research projects. The scope of any such project and the fee therefor will be separately negotiated between the parties and are not a part of this agreement.

Unless otherwise authorized in writing by B&W, Consultant agrees to maintain in confidence any information pertaining to this agreement provided by B&W. The parties acknowledge that any data or information generated or arising out of the consulting work performed by B&W by Consultant is the property

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